

ECO4109Z (2025) Tutorial 3

Below is a new set of events for PB's second year of business. You should:
1. Prepare event summaries like those we reproduced earlier for Year 1 to:
a. Identify how assets and liabilities are affected by the event
b. Establish whether there is a change in equity, and if so, whether this change represents an item of income or expense
c. Identify the accounts affected by the event
d. Identify whether these accounts increase or decrease
2. Prepare the statement of cash flows for PB's Year 2.

Transactions in Year 2:

- PB pays the dividends of R200 that were declared at the end of Year 1.
- PB pays the R400 owed for electricity consumed during Year 1.
- PB borrows a further R950 from the bank.
- PB buys a second pizza oven for R1 500 cash.
- PB buys ingredients for R1 000 (half with cash and half on credit).
- PB makes and sells 200 pizza slices at R30 each (half with cash and half on credit).
- PB receives R4 200 from debtors who bought pizzas in Year 1 and Year 2.
- PB pays suppliers of ingredients for all R400 of the ingredients purchased on credit in Year 1 and for R300 of the ingredients purchased in Year 2.
- PB pays the tax of R210 due for Year 1.
- At the year-end, ingredients at the cost of R100 are still on hand.
- PB pays salaries of R800.
- PB decides to use some of its surplus cash to repay R750 of the bank loan. The remaining balance of the loan is expected to be repaid in three years' time.
- At the end of the year, PB owes the power utility a total of R450 for electricity consumed during the year.
- Both pizza ovens are expected to last for a total of three years, after which they will be scrapped.
- At the year-end, PB receives R30 of interest on its bank account balance.
- At the year-end, PB pays the interest of R80 that the business owes for Year 2 on the loan.
- At the year-end, corporate income tax is due at a rate of 20% on profit before tax.
- At the year-end, the land has a market value of R4 800.
- At the year-end, dividends for the year of R300 (that is, R150 to each of the owners) are declared. These dividends will only be paid in the next financial year.

	A	=	E	+	L
• D ✓ 1.	(200) Bank		0		(200) SH Div
• O 2.	(400) Bank		0		(400) electricity payable
• F ✓ 3.	950 Bank		0		950 Loan
• I ✓ 4.	(1 500) Bank				
	1 500 Equipment		0		0
• 5.	1 000 Inventory		0		500 trade payables
	(500) Bank				
• O ✓ 6.	3 000 Bank		6 000 Sales income		0
	3 000 Trade receivables				
• O 7.	4 200 Bank		0		0
	(4 200) Tr. rec.				
• O 8.	(700) Bank		0		(700) Tr. pay.
• O 9.	(210) Bank		0		(210) Taxes payable
10.	(1 100) Inventory		(1 100) CoS		0
• O ✓ 11.	(800) Bank		(800) Salaries		0
• F ✓ 12.	(750) Bank		0		(750) Loan
13.	0		(450) electricity		(450) elec. payable
* 14.	(800) Equipment		(800) Depreciation		
• F ✓ 15.	30 Bank		30 interest income		0
• F 16.	(80) Bank		(80) interest expense		6
17.	0		(980) income tax		980 taxes pay.
18.	(200) Land		(200) reval. loss OLI		0
19.	0		(300) Dividends		300 SH Div

10. $\text{CoS} = \text{o/b} + \text{purch} - \text{c/b}$
 $= 200 + 1000 - 100$
 $= 1100$

14. $\text{Dep} = \frac{1500}{3} + \frac{1200}{3} = 900$

17. $\text{prof} = \text{Sales} - \text{CoS}$
 $= 6000 - 1100$
 $= 4900 \times 20\%$
 $= 980$

SOCF

Cash flows from operating expenses	
operating profit	6 000
cash generated by operations	4 900
Interest rec.	30
Interest paid	(80)

income taxes paid

Cash flows from investing activities	
PPE	1 500

Cash flows from financing activities

loans received	950
----------------	-----

loans paid	(750)
------------	-------

interest income	30
-----------------	----

Interest expense	(80)
------------------	------

Cash flows from distributing activities

Divs paid	(200)
-----------	-------

total CFs

opening balance	c 1 c equiv @beg
	" @end